

For someone new to investing, passive funds remove complexity. “You don’t need to worry about fund manager philosophies, past returns, or NAV churn,” says Jain.

“In effect, passives allow the investor to tap into India’s structural growth while curbing emotional decision-making, helping them stay invested through cycles,” says Chintan Haria, Principal-Investment Strategy, ICICI Prudential AMC.

STRESS FREE

The beauty of passive is that it lets you build a diversified portfolio with minimal effort. For example, by allocating across large-, mid-, and small-cap index funds, an investor can cover the top 500 companies in India. “Add a small allocation to a gold fund or ETF, and you have a portfolio that is simple, balanced, and easy to track,” says Jain.

For Parikh, passive investing is about peace of mind. He does not have to check stock prices every day or worry if he is missing out on the “next big stock.” “The biggest advantages are low fees, diversification, and the fact that they take emotions out of investing,” he says.

Coming back to Bogle, he had said that the two greatest enemies of the equity fund investor are expenses and emotions. We have looked at expenses and now we look at the emotional bit.

“Passive investing follows a rules-based approach (such as tracking an index), which discourages investors from reacting emotionally to market swings,” says Aditya Agarwal, Co-Founder, Wealthy, a wealth-tech platform.

It also requires long-term commitment and rewards those who stay invested over medium to long durations with focus on a buy-and-hold strategy.

PASSIVE INVESTING SNAPSHOT



VANGUARD AUM (AS OF DEC 31, 2024):

Total: \$10.1 trillion
Index Assets: 82% (\$8.3 trillion)



INDIA PASSIVE MARKET (2025)

Total AUM: Over ₹12 lakh crore (17% of mutual fund industry); Index Fund Growth: From ₹8,000 crore (2020) to ₹1.5 lakh crore ETFs: 10x growth in 5 years



ACTIVE VS. PASSIVE PERFORMANCE

As of March 2024 (per Zerodha QnA): - 51.6% active funds underperformed S&P BSE 100 (1-year), 87.5% (3-year), 85.7% (5-year), 62% (10-year)



COST COMPARISON

Index Funds/ETFs: 0.1–0.3% expense ratio.

Active Funds: 1.5–2.25%. Example: ₹10 lakh invested over 10 years @12%. Passive corpus at 0.2% ratio is ₹30.5 lakh, while active at 2% ratio is ₹25.9 lakh. Difference: ₹4.6 lakh



BENEFITS

Low costs, diversification, simplicity; removes emotions; encourages buy-and-hold. Ideal for beginners and long-term wealth creation



PITFALLS

Limited flexibility in extreme markets. Sector concentration (e.g., Nifty 50 top 10 stocks: 62%). Tracking error in volatile periods



PORTFOLIO ADVICE

Core-Satellite Approach: 60–85% passive (broad indexes), 15–40% active/thematic. Simple Passive Build: 25% large-cap, 25% mid-cap, 50% small-cap + 20% gold ETF